

September 4, 2026 04:01 AM GMT

Zscaler Inc | North America

FQ4 Recap – Not Willing to Lift FY27 Guardrails Despite FQ4 Upside

WHAT'S CHANGED

Zscaler Inc (ZS.O)	From	To
Price Target	\$145.00	\$165.00

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	Modest upside Financial results versus consensus	Modest revision higher Direction of next 12-month consensus EPS
--	--	---

Source: Company data, Morgan Stanley Research

With sales rep departures in FQ3, ZS had embedded a fair amt of conservatism into FQ4/FY27 initial look last Q. FQ4's beat was bigger than expected, but co remaining more conservative given sales leadership new in roles/Agentic SecOps product yet to be released. Monitoring checks to turn more pos.

Key Takeaways

- ZS's FQ4 beat was bigger than expected, particularly after concerns around sales leadership departures flagged last quarter.
- Strength was across business, with existing customers adopting expanding portfolio and new customer acquisition picking up.
- Despite this strength, company remaining conservative on outlook given new sales leadership and Agentic SecOps product to be released during FQ1.
- Seems like meaningful upside potential on top line over next year, but need to get a greater sense that growth deceleration has been stemmed to jump back in.
- Upcoming Agentic SecOps release event / Analyst Day could be catalysts, but would need to see checks inflect before stepping back in.

Performance improving, but lack of follow-through to outlook makes it hard to isolate whether improvement due to environment or company specific. Our more reserved stance on ZS has been borne out by checks that point out strength of ZS's solution, offset by more competitiveness around pricing in SASE. While last quarter's guide down was attributed to a couple of key sales leadership departures, the degree of the deceleration caught many off guard given the health of the cyber environment, continuing to make us more cautious on pricing. While ZS FQ4's results were better than expected, pointing to the level of conservatism the company embedded in guidance as being too aggressive, the company is choosing to stick with the same degree of relative conservatism, implying 200bps+ of ARR

MORGAN STANLEY & CO. LLC

Meta A Marshall

Equity Analyst
Meta.Marshall@morganstanley.com +1 212 761-0430

Adam Wood

Equity Analyst
Adam.Wood@morganstanley.com +1 212 761-3656

Lucas Cerisola

Research Associate
Lucas.Cerisola@morganstanley.com +1 212 761-9194

Zscaler Inc (ZS.O, ZS US)

Software | United States of America

Stock Rating	Equal-weight
Industry View	Attractive
Price target	\$165.00
Shr price, close (Sep 3, 2026)	\$177.80
Mkt cap, curr (mm)	\$29,852
52-Week Range	\$336.99-114.63

Fiscal Year Ending	07/26	07/27e	07/28e	07/29e
EPS (\$)**	4.24	4.88	5.44	6.06
Prior EPS (\$)**	4.12	4.50	5.15	-
P/E	NM	NM	NM	359.6
EPS (\$)§	4.13	4.60	5.40	6.16
Div yld (%)	-	-	-	-

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2026	2027e Prior	2027e Current	2028e Prior	2028e Current
Q1	0.96	1.07	1.15	1.24	1.29
Q2	1.01	1.12	1.20	1.32	1.33
Q3	1.08	1.12	1.22	1.25	1.38
Q4	1.19	1.20	1.30	1.33	1.43

e = Morgan Stanley Research estimates

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

growth decel in FY27. While that has been the trend over the last couple of years, given the health of the environment, the number of new products the company is seeing traction with (e.g. Zero Trust Everywhere, AI Security, Data Security), and the imminent release of Agentic SecOps product, the guidance remains conservative (but as a result the beats will need to be bigger to see a rerating). We could turn more positive if we were to see traction with new products and EMEA performance improve, but for now, we remain on the sidelines. We would note that with Agentic SecOps event and Analyst Day this upcoming quarter, there will be more opportunities to get touch points on performance outlook.

Better than feared quarter. ZS reported \$246mm NNARR / \$3.771bn ARR / \$898mm revenue in Q4, with revenue and ARR both growing 25% Y/Y and NNARR growing 24%, a ~12% beat to NNARR assumptions and almost 2.5% beat to revenue expectations. Red Canary ended the year at \$141mm of ARR vs. prior expectations of ~\$137mm, implying core NNARR of ~\$232mm and +17% Y/Y growth ex-Red Canary (for ~20% overall organic Y/Y ARR growth). Operating margin also reached a record 24%. While the Q4 execution was encouraging, initial FY27 guidance calls for ARR of \$4.396–4.426bn (+17%) and revenue of \$3.908–3.938bn (+17%), representing a meaningful headline deceleration, even assuming Red Canary is flat for the year (the company's baseline assumption). Positively, the company noted improving sales productivity, record large-deal activity and growing non-seat-based solutions contribution. FCF beat expectations in FQ4, though outlook came in just light of expectations as commodity costs continue to increase; company sees \$30-33mm of restructuring charges from announced 3% RIF.

Dissecting some of the puts and takes of the model. As noted above, highlights from the quarter were: 1) security for AI bookings were up 50%+ Q/Q, 2) Zero Trust Everywhere customer counts continued to accelerate, moving to 950+, 3) Company delivered double digit sales productivity growth. However, these points of strength were offset by: 1) EMEA results that were slightly disappointing, growing 17% Y/Y in FQ4, 2) upcoming transition of Red Canary customers to Automated SecOps product, 3) outstanding sales positions open (though hire has been made). As a result, company not yet willing to carry forward FQ4 strength to FY27 outlook.

Remain EW, PT to \$165 from \$145. PT increased to \$165 From \$145 on the back of slightly better-than-expected FQ4 results. \$165 is based on 31x EV/FCF FY28e FCF of \$1,233mm, up slightly from prior 25x (on a lower \$1,197mm FY28 FCF estimate). Upside risks to our PT include an acceleration in cybersecurity spend and better competitive dynamics. Downside risks to our PT include increased competitive pressure from larger vendors, particularly Palo Alto Networks, as well as longer sales cycles due to the transformational nature of ZS's offering.

Risk Reward – Zscaler Inc (ZS.O)

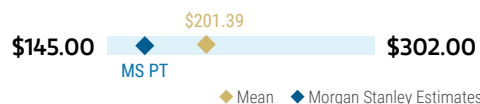
Modernizing Security Architectures For The Cloud... But Intensifying Competition

PRICE TARGET \$165.00

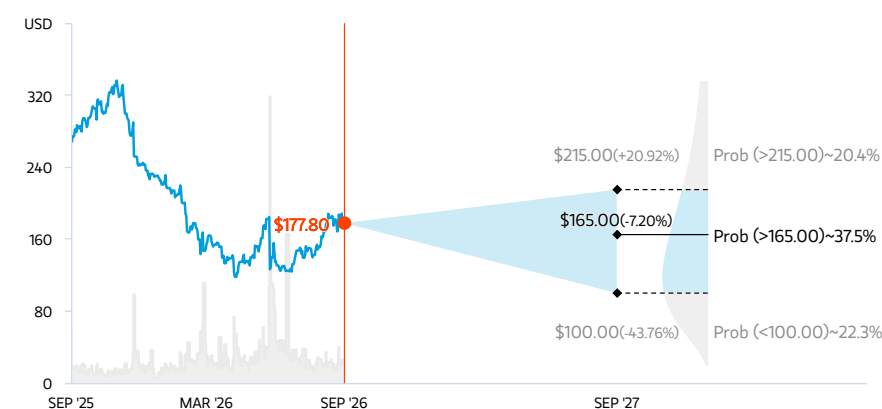
Derived from 31x CY28 FCF, a slight premium to Security software peers, given durability of SASE spend vs other more cyclical areas within Security, discounted back at a 12.1% discount rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



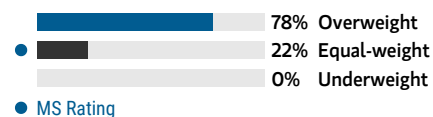
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 3 Sep 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- Zscaler's cloud-native security solution is well positioned to help enterprises modernize their network security architectures.
- Zscaler should benefit from better sales rep productivity nearer-term
- Zscaler's longer-term secular growth story remains strong, especially as the company continues to build more of a platform offering across multiple areas of the security stack beyond core network security over the next few years. However, these newer areas remain nascent relative to the total business and are unlikely to drive growth in the near-term, while the core business has seen growth decelerate in recent quarters as well. Altogether, these factors suggest limited growth upside in the NT.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$215.00

38x Bull Case CY28 FCF of \$1,341M

Zscaler garners a leading market position within web security and captures more of the full network security stack (>\$20B in annual spend today). This drives revenue CAGR of 24% through CY28, with operating margin expanding to 25% on greater revenue scale. Applying a 38x multiple to our estimated CY28 FCF of \$1.3B yields our bull case DCF value of \$215, after discounting back at 12.1% WACC.

BASE CASE

\$165.00

31X Base Case CY28 FCF of \$1,233M

Our base case for ZS assumes that the company grows at a 22% CAGR over the next 5 years to reach revenue of \$5.2B in CY28. Slightly improving unit economics drive op margins from 18% in CY23 to 24% in CY28e and FCF of \$1.23B. Applying a 31X EV/FCF multiple against our CY28 estimate and discounting back at 12.1% drives our \$165 Base Case.

BEAR CASE

\$100.00

19X Bear Case CY28 FCF of \$1,123M

Zscaler faces intensifying competition from larger network security vendors, while the company's efforts to expand meaningfully in network security fail to materialize. Growth slows faster than expected to 21% rev CAGR through CY28, and Zscaler exits CY28 with 23% operating margin. Given the lower growth profile, ZS trades at 19x EV/FCF in CY28, yielding \$100/share, assuming a 12.1% discount rate.

Risk Reward – Zscaler Inc (ZS.O)

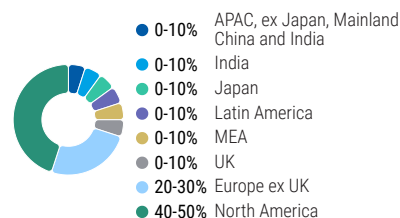
KEY EARNINGS INPUTS

Drivers	Jul 2026	Jul 2027e	Jul 2028e	Jul 2029e
Revenue YoY (%)	25.4	17.0	15.0	13.5
Billings YoY (%)	22.4	0.0	0.0	0.0
Operating Margin (%)	22.9	23.7	24.2	24.7
Free Cash Flow Margin (%)	23.2	23.5	24.0	24.5

INVESTMENT DRIVERS

- Share gains in broader network security market
- Net dollar retention from existing customers
- Sales productivity as new sales hires ramp

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- ZS sees accelerating customer adds and traction with its Transformational suites which includes the replacement of network firewalls;
- Faster than expected traction with newer modules for Cloud Workload Protection (ZCP).

RISKS TO DOWNSIDE

- Increased competitive pressure from larger vendors, particularly Palo Alto Networks
- Long sales cycles due to transformational nature of ZS offering

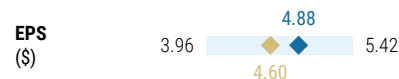
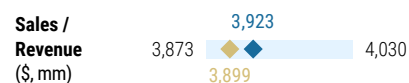
OWNERSHIP POSITIONING

Inst. Owners, % Active	44.8%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	33.6%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jul 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Analysis

Exhibit 1: Model Changes

	2026-Q1	2026-Q2	2026-Q3	2026-Q4	2026-FY	2027-FY	2028-FY	2029-FY
New Total Rev.	\$788.1M	\$815.8M	\$850.5M	\$898.2M	\$3,352.5M	\$3,923.1M	\$4,512.4M	\$5,123.1M
YoY Change	25.5%	25.9%	25.4%	24.9%	25.4%	17.0%	15.0%	13.5%
Old Total Rev.	\$788.1M	\$815.8M	\$850.5M	\$876.8M	\$3,331.1M	\$3,888.1M	\$4,479.0M	
% Change	0.0%	0.0%	0.0%	2.4%	0.6%	0.9%	0.7%	
Total ARR	\$3,204.0	\$3,359.0	\$3,525.0	\$3,771.0	\$3,771.0	\$4,411.6	\$5,094.8	\$5,807.7
YoY Change	25.5%	25.2%	25.1%	25.1%	25.1%	17.0%	15.5%	14.0%
Old ARR	\$3,204.0	\$3,359.0	\$3,525.0	\$3,744.5	\$3,744.5	\$4,362.9	\$5,018.3	
% Change	0.0%	0.0%	0.0%	0.7%	0.7%	1.1%	1.5%	
Net New ARR	\$189.0	\$155.0	\$166.0	\$246.0	\$756.0	\$640.6	\$683.2	\$712.9
YoY Change	139%	19%	24%	24%	40%	-15%	7%	4%
Old Net New ARR	\$189.0	\$155.0	\$166.0	\$219.5	\$729.5	\$618.4	\$655.4	
% Change	0.0%	0.0%	0.0%	12.1%	3.6%	3.6%	4.2%	
New Op. Income	\$171.9M	\$181.0M	\$195.8M	\$218.4M	\$767.1M	\$928.4M	\$1,090.1M	\$1,267.0M
New Op. Margin	21.8%	22.2%	23.0%	24.3%	22.9%	23.7%	24.2%	24.7%
Old Op. Income	\$171.9M	\$181.0M	\$195.8M	\$207.0M	\$755.7M	\$887.5M	\$1,038.9M	
Old Op. Margin	21.8%	22.2%	23.0%	23.6%	22.7%	22.8%	23.2%	
% Change	0.0%	0.0%	0.0%	5.5%	1.5%	4.6%	4.9%	
New Adj. EPS	\$0.96	\$1.01	\$1.08	\$1.19	\$4.24	\$4.88	\$5.44	\$6.06
YoY Change	24%	30%	29%	34%	29%	15%	12%	11%
Old Adj. EPS	\$0.96	\$1.01	\$1.08	\$1.08	\$4.12	\$4.50	\$5.15	
% Change	0.0%	0.0%	0.0%	10.7%	2.8%	8.4%	5.8%	
New FCF	\$413.3M	\$169.1M	\$136.0M	\$60.8M	\$779.1M	\$921.9M	\$1,083.0M	\$1,255.2M
YoY Change	41.6%	19%	13.8%	-64.7%	7.3%	18.3%	17.5%	15.9%
Old FCF	\$413.3M	\$169.1M	\$136.0M	\$52.0M	\$770.4M	\$894.1M	\$1,053.8M	
% Change	0%	0%	0%	17%	1%	3%	3%	
New FCF Margin	52.4%	20.7%	16.0%	6.8%	23.2%	23.5%	24.0%	24.5%
YoY Change	41.6%	18.6%	13.8%	-64.7%	7.3%	18.3%	17.5%	15.9%
Old FCF Margin	52.4%	20.7%	16.0%	5.9%	23.1%	23.0%	23.5%	
Change in Margins	0.0%	0.0%	0.0%	0.8%	0.1%	0.5%	0.5%	

Source: Company data, Morgan Stanley Research estimates

Financials

Exhibit 2: ZS Income Statement

	(\$ millions, Except Per-Share Data)															
					2026				2027E							
	FY22	FY23	FY24	FY25	10/25	1/26	4/26	7/26	FY26	10/26E	1/27E	4/27E	7/27E	FY27E	FY28E	FY29E
Total Revenue	1,090.9	1,617.0	2,167.8	2,673.1	788.1	815.8	850.5	898.2	3,352.5	937.1	960.0	989.3	1,036.6	3,923.1	4,512.4	5,123.1
YoY change	62.1%	48.2%	34.1%	23.3%	25.5%	25.9%	25.4%	24.9%	25.4%	18.9%	17.7%	16.3%	15.4%	17.0%	15.0%	13.5%
QoQ change					9.6%	3.5%	4.3%	5.6%		4.3%	2.4%	3.1%	4.8%			
Cost of Revenue																
Cost of Revenue	209.0	313.0	411.5	532.1	158.3	161.5	163.8	177.4	661.0	187.4	192.0	197.9	207.3	784.6	902.5	1,024.6
Gross Profit	881.9	1,304.0	1,756.3	2,141.0	629.8	654.3	686.7	720.8	2,691.6	749.7	768.0	791.4	829.3	3,138.5	3,609.9	4,098.5
Gross margin	80.8%	80.6%	81.0%	80.1%	79.9%	80.2%	80.7%	80.2%	80.3%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%
Operating Expenses																
Sales & Marketing	532.3	730.8	868.4	997.9	296.2	283.1	295.5	304.3	1,179.2	351.8	333.2	343.8	351.2	1,379.9	1,604.1	1,836.6
YoY change	69.1%	37.3%	18.8%	14.9%	23.0%	19.2%	18.1%	13.0%	18.2%	18.8%	17.7%	16.3%	15.4%	17.0%	16.2%	14.5%
% of revenues	48.8%	45.2%	40.1%	37.3%	37.6%	34.7%	34.7%	33.9%	35.2%	37.5%	34.7%	34.7%	33.9%	35.2%	35.5%	35.8%
Research & Development	165.4	227.9	313.2	409.9	124.1	144.4	143.5	147.7	559.7	141.9	160.4	160.0	170.5	632.8	711.2	788.6
YoY change	63.1%	37.8%	37.4%	30.9%	30.3%	37.6%	35.4%	42.5%	36.6%	14.4%	11.0%	11.5%	15.4%	13.1%	12.4%	10.9%
% of revenues	15.2%	14.1%	14.4%	15.3%	15.7%	17.7%	16.9%	16.4%	16.7%	15.1%	16.7%	16.2%	16.4%	16.1%	15.8%	15.4%
General & Administration	72.6	104.5	132.4	153.1	37.6	45.8	51.8	50.4	185.6	40.0	49.1	55.3	53.0	197.4	204.4	206.4
YoY change	44.3%	43.9%	26.7%	15.6%	5.1%	20.6%	25.6%	32.0%	21.2%	6.4%	7.2%	6.8%	5.1%	6.4%	3.6%	1.0%
% of revenues	6.7%	6.5%	6.1%	5.7%	4.8%	5.6%	6.1%	5.6%	5.5%	4.3%	5.1%	5.6%	5.1%	5.0%	4.5%	4.0%
Special Charges	439.0	467.8	563.7	708.6	208.2	232.7	225.5	233.9	900.4	237.3	242.3	248.8	259.1	987.4	1,038.5	1,070.2
Total Operating Expenses	770.3	1,063.2	1,314.0	1,560.9	457.9	473.3	490.8	502.3	1,924.4	533.7	542.6	559.1	574.6	2,210.1	2,519.8	2,831.5
YoY change	65.1%	38.0%	23.6%	18.8%	23.2%	24.4%	23.5%	22.2%	23.3%	16.6%	14.6%	13.9%	14.4%	14.8%	14.0%	12.4%
Operating Income	111.6	240.8	442.2	580.1	171.9	181.0	195.8	218.4	767.1	216.0	225.4	232.3	254.7	928.4	1,090.1	1,267.0
Operating Margin	10.2%	14.9%	20.4%	21.7%	21.8%	22.2%	23.0%	24.3%	22.9%	23.0%	23.5%	23.5%	24.6%	23.7%	24.2%	24.7%
YoY change	43.1%	115.8%	83.6%	31.2%	28.1%	28.8%	33.5%	37.5%	32.2%	25.7%	24.5%	18.6%	16.6%	21.0%	17.4%	16.2%
Depreciation and Amortization	40.5	55.8	66.3	104.4	32.7	34.9	38.0	42.9	148.5	42.9	45.5	48.1	50.7	187.2	230.4	276.9
EBITDA	152.1	296.6	508.6	684.5	204.5	215.9	233.9	261.4	915.7	258.9	270.9	280.4	305.4	1,115.6	1,320.6	1,543.9
EBITDA Margin	13.9%	18.3%	23.5%	25.6%	25.9%	26.5%	27.5%	29.1%	27.3%	27.6%	28.2%	28.3%	29.5%	28.4%	29.3%	30.1%
Net Interest and Other Income (Expense)	(1.1)	56.3	96.9	114.5	30.0	32.5	29.3	32.4	124.3	32.4	35.9	35.9	35.9	140.1	143.5	143.5
Income Before Taxes	110.5	297.1	539.1	694.6	201.9	213.5	225.2	250.9	891.4	248.4	261.3	268.2	290.6	1,068.5	1,233.6	1,410.5
% of revenues	10.1%	18.4%	24.9%	26.0%	25.6%	26.2%	26.5%	27.9%	26.6%	26.5%	27.2%	27.1%	28.0%	27.2%	27.3%	27.5%
Provision (Benefit) for Income Taxes	9.2	19.8	30.3	159.8	42.4	44.8	47.3	52.7	187.2	52.2	54.9	56.3	61.0	224.4	259.1	296.2
% Tax Rate	8.4%	6.7%	5.6%	23.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%
Net income	101.3	277.4	508.8	534.8	159.5	168.7	177.9	198.2	704.2	196.2	206.4	211.9	229.6	844.1	974.6	1,114.3
Net margin	9.3%	17.2%	23.5%	20.0%	20.2%	20.7%	20.9%	22.1%	21.0%	20.9%	21.5%	21.4%	22.1%	21.5%	21.6%	21.7%
Pro Forma EPS - Operating	\$0.69	\$1.78	\$3.19	\$3.28	\$0.96	\$1.01	\$1.08	\$1.19	\$4.24	\$1.15	\$1.20	\$1.22	\$1.30	\$4.88	\$5.44	\$6.06
Year over year % change	31.4%	159.7%	78.8%	2.7%	24.3%	29.6%	28.5%	34.3%	29.3%	20.5%	18.4%	13.2%	9.6%	15.2%	11.6%	11.3%

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: ZS Revenue Drivers

(\$ in millions, except EPS)																								
	FY22	FY23	FY24	FY25	2026				FY26	2027E				FY27E	FY28E	FY29E								
					10/25	1/26	4/26	7/26		10/26E	1/27E	4/27E	7/27E											
Old Revenue Drivers (Rep Productivity Build)																								
Customer Model																								
Per Customer Metrics																								
Annual Recurring Revenue Model																								
Prior Year Annual Recurring Revenue	900.0	1,450.0	2,000.0	2,474.0	2,553.0	2,683.0	2,817.0	3,015.0	3,015.0	3,204.0	3,359.0	3,525.0	3,771.0	3,771.0	4,411.6	5,094.8								
(+) New Customer ARR					293.6	300.4	313.6	333.9		246.7	212.6	187.5	178.7											
New ARR per Gross New Customer ('000)					\$212.0	\$214.3	\$221.3	\$233.3		\$170.7	\$145.7	\$127.3	\$120.2											
YoY Growth					70%	76%	65%	64%		-20%	-32%	-43%	-49%											
(+) Expansion ARR	225.0	304.5	300.0	346.4	357.4	375.6	394.4	422.1	422.1	416.5	436.7	458.3	461.9											
Net Expansion Rate		121%	115%	114%	114%	114%	114%	114%	114%	113%	113%	113%	112%											
Net-New ARR	550.0	550.0	474.0	541.0	189.0	155.0	166.0	246.0	756.0	96.2	141.1	162.4	240.9	640.6	683.2	712.9								
YoY Growth		0%	-14%	14%	139%	19%	24%	24%	40%	-49%	-9%	-2%	-2%	-15%	7%	4%								
QoQ Growth					-5%	-18%	7%	48%		-61%	47%	15%	48%											
3-yr Seasonality					-48%	36%	13%	31%		-38%	31%	10%	43%											
NNARR / Prior Year S&M																								
Ending Annual Recurring Revenue	1,450.0	2,000.0	2,474.0	3,015.0	3,204.0	3,359.0	3,525.0	3,771.0	3,771.0	3,867.2	4,008.3	4,170.7	4,411.6	4,411.6	5,094.8	5,807.7								
YoY Growth	61%	38%	24%	22%	25.5%	25.2%	25.1%	25.1%	25%	20.7%	19.3%	18.3%	17.0%	17.0%	15.5%	14.0%								
Revenue Model																								
Total Subscription Revenue	1,058.2	1,568.4	2,114.2	2,613.4	772.3	799.4	833.5	880.2	3,285.5	918.4	940.8	969.5	1,015.9	3,844.6	4,422.1	5,020.7								
YoY Growth	62.1%	48.2%	34.8%	23.6%	26.8%	25.9%	25.4%	24.9%	25.7%	18.9%	17.7%	16.3%	15.4%	17.0%	15.0%	13.5%								
QoQ Growth					9.6%	3.5%	4.3%	5.6%		4.3%	2.4%	3.1%	4.8%											
% of Total Revenue	97%	97%	97%	98%	98%	98%	98%	98%	98%	98%	98%	98%	98%	98%	98%	98%								
Total Subscription Revenue as % of Prior Qtr ARR/4					102.5%	106.1%	99.3%	99.9%		97.4%	97.3%	96.8%	97.4%											
Professional Services Revenue	32.7	48.5	53.6	59.7	15.8	16.3	17.0	18.0	67.1	18.7	19.2	19.8	20.7	78.5	90.2	102.5								
YoY Growth	62.1%	48.2%	10.4%	11.5%	-16.3%	25.9%	25.4%	24.9%	12.2%	18.9%	17.7%	16.3%	15.4%	17.0%	15.0%	13.5%								
QoQ Growth					9.6%	3.5%	4.3%	5.6%		4.3%	2.4%	3.1%	4.8%											
% of Total Revenue	3.0%	3.0%	3.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%								
% Professional Services Attach Rate					2.0%	2.0%	2.0%	2.0%		2.0%	2.0%	2.0%	2.0%											
Total Revenue	1,090.9	1,617.0	2,167.8	2,673.1	788.1	815.8	850.5	898.2	3,352.5	937.1	960.0	989.3	1,036.6	3,923.1	4,512.4	5,123.1								
YoY Growth	62.1%	48.2%	34.1%	23.3%	25.5%	25.9%	25.4%	24.9%	25.4%	18.9%	17.7%	16.3%	15.4%	17.0%	15.0%	13.5%								
QoQ Growth					9.6%	3.5%	4.3%	5.6%		4.3%	2.4%	3.1%	4.8%											

Source: Company data, Morgan Stanley Research estimates

(\$ in millions, except EPS)

Source: Company data, Morgan Stanley Research estimates

(\$ in millions, except EPS)

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Meta A Marshall; Adam Wood.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

The analyst or strategist (or a household member) identified below owns the following securities (or related derivatives): Lucas Cerisola - Palo Alto Networks Inc.(common or preferred stock); Meta A Marshall - Adobe Inc.(common or preferred stock), Intuit(common or preferred stock), Microsoft(common or preferred stock), Oracle Corporation(common or preferred stock), Palo Alto Networks Inc(common or preferred stock), Salesforce, Inc.(common or preferred stock).

As of July 31, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, Datadog, Inc., Descartes Systems Group Inc, DocuSign Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, Klaviyo, Inc, Lightspeed Commerce Inc., Liveramp Holdings Inc, Manhattan Associates Inc., Microsoft, monday.com Ltd, MongoDB Inc, Nebius Group NV, NICE Ltd., Okta, Inc., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, RingCentral Inc, Salesforce, Inc., Samsara Inc, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Vertex Inc., Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, ZoomInfo Technologies Inc.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Akamai Technologies, Inc., Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, DigitalOcean Holdings Inc, Dynatrace Inc, Intuit, Navan Inc, Nebius Group NV, Netskope, Inc., Salesforce, Inc., ServiceNow Inc, Via Transportation Inc, Wix.Com Ltd. Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Akamai Technologies, Inc., Autodesk, Blackline Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, DigitalOcean Holdings Inc, HubSpot, Inc., Intuit, Microsoft, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., RingCentral Inc, Salesforce, Inc., ServiceNow Inc, Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd, Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, Datadog, Inc., Descartes Systems Group Inc, DigitalOcean Holdings Inc, DocuSign Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, Lightspeed Commerce Inc., Liveramp Holdings Inc, Microsoft, monday.com Ltd, MongoDB Inc, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., Okta, Inc., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, RingCentral Inc, SailPoint Inc, Salesforce, Inc., Samsara Inc, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Vertex Inc., Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, Zoom Communications, **Zscaler Inc.**

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Asana Inc, Atlassian Corporation PLC, Autodesk, Blackline Inc, Box Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, DigitalOcean Holdings Inc, DocuSign Inc, Dynatrace Inc, Figma Inc, Five9 Inc, Freshworks Inc, Gen Digital Inc., GitLab Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, Microsoft, monday.com Ltd, MongoDB Inc, NICE Ltd., Oracle Corporation, Palantir Technologies Inc., Palo Alto Networks Inc, RingCentral Inc, SailPoint Inc, Salesforce, Inc., SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Snowflake Inc., Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Workday Inc, Zeta Global Holdings Corp, Zoom Communications, **Zscaler Inc.**

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, Datadog, Inc., Descartes Systems Group Inc, DigitalOcean Holdings Inc, DocuSign Inc, Dynatrace Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, Lightspeed Commerce Inc., Liveramp Holdings Inc, Microsoft, monday.com Ltd, MongoDB Inc, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., Okta, Inc., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, RingCentral Inc, SailPoint Inc, Salesforce, Inc., Samsara Inc, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Vertex Inc., Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, Zoom Communications, **Zscaler Inc.**

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Asana Inc, Atlassian Corporation PLC, Autodesk, Blackline Inc, Box Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, Datadog, Inc., DigitalOcean Holdings Inc, DocuSign Inc, Dynatrace Inc, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, Microsoft, monday.com Ltd, MongoDB Inc, Nebius Group NV, NICE Ltd., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, RingCentral Inc, SailPoint Inc, Salesforce, Inc., SentinelOne, Inc.,

ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, Zoom Communications, **Zscaler Inc.**

An employee, director or consultant of Morgan Stanley is a director of Elastic NV, Tenable Holdings Inc. This person is not a research analyst or a member of a research analyst's household. Morgan Stanley & Co. LLC makes a market in the securities of Amplitude Inc., Appian Corp, Asana Inc, Autodesk, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Elastic NV, Five9 Inc, Liveramp Holdings Inc, Manhattan Associates Inc., PagerDuty, Inc., Qualys Inc, Rapid7 Inc, RingCentral Inc, Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Twilio Inc, Varonis Systems, Inc., Vertex Inc., ZoomInfo Technologies Inc.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of August 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Zscaler Inc (ZS.O) - As of 09/04/26 GMT in USD
Industry : Software



Stock Rating History: 9/1/21 : E/A; 1/18/22 : O/A; 1/12/23 : E/A; 9/2/25 : O/A; 4/22/26 : E/A

Price Target History: 2/26/21 : 215; 9/10/21 : 275; 12/1/21 : 330; 1/18/22 : 325; 5/18/22 : 225; 11/22/22 : 180; 12/2/22 : 162; 1/12/23 : 120; 9/5/23 : 145; 9/29/23 : 155; 11/21/23 : 170; 11/28/23 : 180; 1/10/24 : 195; 2/25/24 : 214; 5/24/24 : 202; 8/26/24 : 215; 12/3/24 : 205; 4/15/25 : 200; 5/30/25 : 280; 9/2/25 : 320; 11/13/25 : 335; 12/18/25 : 305; 2/26/26 : 200; 4/22/26 : 155; 5/27/26 : 145

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Atlassian Corporation PLC, Microsoft, Workday Inc. This person is not a research analyst or a member of research analyst's household.

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (<https://www.morganstanley.com/assets/>

[pdfs/about-us-global-offices/india/Terms_and_conditions.pdf](#)) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member

of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/03/2026)
Adam Wood		
Adobe Inc. (ADBE.O)	U (07/21/2026)	\$285.75
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$194.68
Intuit (INTU.O)	E (07/21/2026)	\$344.30
Microsoft (MSFT.O)	O (07/21/2026)	\$510.12
Salesforce, Inc. (CRM.N)	E (07/21/2026)	\$264.43
Samsara Inc (IOT.N)	E (03/23/2023)	\$38.75
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$145.59
Shopify Inc (SHOP.O)	O (04/19/2024)	\$145.88
Workday Inc (WDAY.O)	U (07/21/2026)	\$206.92
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$50.86
Blackline Inc (BL.O)	E (07/21/2026)	\$33.23
Box Inc (BOX.N)	E (05/21/2024)	\$35.96
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$7.22
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$80.75
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$65.97
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$222.35
Navan Inc (NAVN.O)	O (11/24/2025)	\$27.71
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$93.10
SPS Commerce Inc (SPSC.O)	U (07/21/2026)	\$84.21
Vertex Inc. (VERX.O)	E (07/21/2026)	\$13.78
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$27.58
Elizabeth Porter, CFA		
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$13.55
Asana Inc (ASAN.N)	U (05/20/2025)	\$10.09
Autodesk (ADSK.O)	O (08/23/2024)	\$237.52

Figma Inc (FIG.N)	E (08/25/2025)	\$25.22
Five9 Inc (FIVN.O)	E (10/10/2022)	\$34.10
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$13.36
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$103.63
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$255.12
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	\$19.76
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$37.76
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$97.33
NICE Ltd. (NICE.O)	E (07/21/2026)	\$108.31
RingCentral Inc (RNG.N)	E (08/08/2023)	\$76.36
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$6.24
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$11.37
Toast, Inc. (TOST.N)	O (12/16/2021)	\$33.93
Twilio Inc (TWLO.N)	O (02/24/2025)	\$240.48
Wix.Com Ltd (WIX.O)	E (07/21/2026)	\$81.20
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$32.68
Zoom Communications (ZM.O)	E (10/11/2022)	\$98.14
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$4.12
Meryl R Thomas, CFA		
Lightspeed Commerce Inc. (LSPD.N)	E (02/18/2021)	\$10.57
Meta A Marshall		
Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$137.41
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	\$214.97
Fortinet Inc. (FTNT.O)	E (07/21/2026)	\$156.36
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$31.33
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$14.34
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$170.42
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$331.94
Qualys Inc (QLYS.O)	U (02/09/2021)	\$174.35
Rapid7 Inc (RPD.O)	U (07/21/2026)	\$11.47
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$19.39
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$19.80
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$34.49
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$46.51
Zscaler Inc (ZS.O)	E (04/22/2026)	\$177.80
Ryan Lountzis		
CoreWeave (CRWV.O)	E (04/22/2025)	\$84.56
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$210.63
Sanjit K Singh		
Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$106.50
Appian Corp (APPN.O)	E (04/30/2026)	\$40.82
C3.ai (AI.N)	U (01/04/2021)	\$10.90
Cloudflare Inc (NET.N)	O (12/02/2024)	\$284.51
Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$214.76
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$109.40
Dynatrace Inc (DT.N)	O (08/25/2026)	\$52.76
Elastic NV (ESTC.N)	E (07/21/2026)	\$96.13
GitLab Inc (GTLB.O)	E (01/12/2026)	\$49.31
JFrog Ltd. (FROG.O)	E (07/21/2026)	\$90.61
MongoDB Inc (MDB.O)	O (04/12/2023)	\$384.45
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$154.04
PagerDuty, Inc. (PD.N)	U (07/21/2026)	\$14.10
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$182.53
Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$356.47

UiPath Inc (PATH.N)	E (09/07/2022)	\$18.22
---------------------	----------------	---------

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

© 2026 Morgan Stanley